

the other shorter lengths. The retailer put them for sale at over \$30. Everyone was happy with the healthy margins.

They started to get more retailers to carry their cables and sales grew significantly over the next few months. Then sales started falling. The retailers said that they no longer needed the CompuLink cables as their primary vendor had come up with those lengths, and the incumbent had a better brand and packaging.

Shevlin was very disappointed and spent some time thinking. He realized that PC and printer manufacturers are continuously coming up with new models of printers and new models of computers and other devices that need to be connected. Every few months, CompuLink changed large portions of its product line as competitors entered the fray.

Shevlin was always running about three to six months ahead of his big competitors in introducing cables because he was nimble and focused. The competitors were slower because they were larger companies, and it took time to roll out new products. Shevlin would get the new cables into distribution channels, scoop in all the super-normal profits as a monopolist, milk it for three to six months, and then be told that he was either being replaced by the mainstream vendor or had to drop prices.

They did exceptionally well with their lowly Dhandho arbitrage and became an *Inc.* 500 company in 1989—one of the fastest growing businesses in the United States. They literally were the ultimate business arbitrage model—one where super-normal profits were totally free but lasted just a few months. They were good at dealing with uncertainty. Low risk, high uncertainty, and arbitrage are the core fundamentals of how good entrepreneurs operate.

As computer interfaces began to get standardized, CompuLink's original arbitrage spread all but vanished. It continued to evolve and morph—always looking to exploit an offering gap. It did find such a gap in complex cable installations. Today, CompuLink has 600 employees doing mostly cable installation services.² This spread, too, has narrowed, but in the meanwhile, it has built brand and reputation. It's likely CompuLink will